

Paytm

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Paytm is India's largest payment aggregator, connecting over 4.5 crore merchants and millions of consumers through a unified digital payments platform. Founded in 2010, the company processes transactions across UPI, cards, wallets, and EMI products, and has built the country's most extensive merchant device network through its signature Soundbox. Beyond payments, Paytm has expanded into merchant lending and financial services, using its payment data to underwrite loans to small businesses on its platform. It is listed on the NSE and BSE under the ticker PAYTM with a market capitalization of approximately ₹63,000 crore as of FY25.

Warren Buffett once said that he looks for businesses with a durable competitive advantage, run by people he trusts, at a price that makes sense. Paytm, in our view, fails on all three counts. The business operates in a payments market that is structurally difficult to win: UPI, which dominates transaction volumes, earns near-zero margins, and the consumer side of the platform is actively losing share to Google Pay and PhonePe, two better products with stronger user experiences. Management has not demonstrated the kind of long-term capital discipline or execution consistency that would inspire confidence, having been caught off-guard by the RBI's action against Paytm Payments Bank and repeatedly forced to scale back products that were growing quickly. And at 32x FY28 EBITDA, the market is pricing in flawless execution across every segment of the business at a time when the competitive landscape is getting harder, not easier. A business losing consumer market share in its core product, dependent on regulatory goodwill for its lending engine, and trading at a rich multiple is not a business we would choose to own. This note documents the research behind that conclusion.

Payment Services:

Paytm's Payment Services segment is the backbone of the company, generating 4,039 crores in revenue which accounts for 59% of the total revenue that Paytm generated in FY25. This segment handles the bulk of transactions processed on the platform and is central to the company's broader ecosystem, supporting both merchant adoption and consumer activity. They have 2 drivers of their revenue, and the primary one is from merchant transaction fees, which vary by payment type, and is influenced by the volume and mix of payments that they process.

To get a clear picture of the scale and efficiency of this segment, the table below provides a consolidated view of the segment's key metrics from Gross Merchandise

Value (GMV) through to revenue, margins, merchant registrations, and device subscriptions:

Metric	FY21	FY22	FY23	FY24	FY25	FY26 Q1	YoY %	in Cr (unless stated otherwise)
GMV (lakhs Cr)	4	8.5	13.2	18.3	18.9	5.4	3%	
Revenue	1,981	3,432	4,930	6,236	4,039	1,044	-35%	
Net Payments Margin	64	679	1,970	2,955	1,915	529	-35%	
Payment Processing Margin (W/o UPI incentive)	3-4bps	3-4bps	5-7bps	5-7bps	2-3bps	3bps	0%	
Blended Margin	2bps	8bps	15bps	16.1bps	10.1bps	9.8bps	-37%	
Registered Merchants	2.1	2.7	3.4	4.1	4.4	4.5	7%	
Device Subscription (Lakhs)	8	29	68	1.07	1.24	1.3	16%	
Merchant Transactions	587	1,260	2,400	3,669	4,383	1,303	19%	
UPI Incentive	-	92	182	288	70	-	-76%	

As the table shows, while GMV and merchant transactions have grown steadily over the years, blended margins and net payments margins have fluctuated, reflecting the shift in payment mix and UPI incentives. Registered merchants and device subscriptions have also grown, underscoring Paytm's expanding merchant base and adoption of its payment devices. This overview highlights how the Payment services segment not only drives transaction volume but also serves as a platform for recurring revenue through devices and higher-margin transactions.

Merchant Fees & Take Rates

While Paytm's overall revenues are shaped by total GMV, its margins are ultimately determined by the mix of payment methods processed on the platform. These margins come from the Merchant Discount Rate (MDR), which is the small fee a merchant pays when a customer uses a card. Importantly, Paytm does not keep the entire MDR. It is shared between the customer's bank (the issuing bank), the payment network (Visa, Mastercard, or RuPay), and the merchant's bank (the acquiring bank). Paytm only retains a portion of this MDR as its revenue.

The margins vary significantly across transaction types: UPI transactions, which dominate volumes, generate minimal direct revenue, while debit and credit card transactions, and especially EMI payments, deliver far higher take rates.

The table breaks down the merchant discount rates (MDR's), Paytm's effective take rates, and the corresponding share of transaction volumes:

Payment Method	MDR Rate	Paytm Take Rate	Volume Share
Credit Cards	1.99%	15-18 bps	10-15%
Debit Cards (>₹2K)	0.90%	8-12 bps	
UPI (Incentive)	0%	3-4 bps	80-85%
EMI	2.99%	20-25 bps	3-5%

As the table highlights, UPI contributes more than 80% of transaction volumes but it adds little to margins due to its zero-MDR structure. Conversely, card and EMI transactions have greater margins, generating blended take rates around 7-9 bps. This explains Paytm's emphasis on device adoption such as Soundboxes and POS terminals, which encourage card and EMI usage, thereby lifting average margins. UPI brings the users, cards and EMI's bring the money which supports sustainable growth for Paytm.

Device Penetration & Market Share

The ability to capture higher-margin card and EMI transactions depends not only on payment mix but also on the devices merchants use. Basic Soundboxes are inexpensive and widely adopted, but they primarily support UPI payments. In contrast, advanced devices such as Card Soundboxes and Android POS terminals allow merchants to accept cards and EMI payments, directly boosting Paytm's blended margins.

Player	Paytm	PhonePe	BharatPe	Pine Labs	Total (lakhs)
Devices (Lakhs)	130	50	4	9	193
Registered Merchants (Lakhs)	450	400	100	2.7	600
Device Share	67.3%	25.9%	2.07%	4.67%	100%
True Market Penetration	21.7%	8.3%	0.6%	1.5%	31%

Scenario	Devices (Cr)	Subscription Revenue (Cr)	Merchant Lending Disbursals (Cr)	Lending Fees @5% (Cr)	Total Device-Linked Revenue (Cr)
Q1 FY26	1.3	1,560	14,692	734	2,300
Double Devices	2.6	3,120	29,384	1,469	4,600
Triple Devices	3.9	4,680	44,076	2,203	6,900

As the table shows, **Paytm has by far the highest penetration**, it controls around 67% of all merchant hardware in the market, with 21.7% penetration of India's true merchant

base. PhonePe is second with around 26% device share and 8% true penetration while BharatPe and Pine Labs remain marginal.

To estimate penetration, the Redseer report says that there are 6 crore digitized merchants in India. QR code registrations tend to overstate the number of unique merchants, since many display codes from multiple providers. Devices, on the other hand, are a stronger measure of stickiness and it's unlikely that a merchant will buy hardware from more than one company. The **data for BharatPe (FY23)** is a bit dated, so their actual deployments are likely higher. Even with that information, Paytm's device footprint remains meaningfully larger, underscoring its leadership in merchant hardware.

Device Pricing & Product Positioning

Paytm's edge in merchant hardware comes not just from penetration, but from the breadth of its device portfolio. By offering a range of devices at different price points, Paytm can serve the smallest shopkeepers while also catering to larger merchants with higher-value transactions. This flexibility allows merchants to start with a basic Soundbox and upgrade over time, deepening stickiness within the Paytm ecosystem.

The table below outlines device pricing across players:

Company	Device Name	Setup Cost	Monthly Fee	Target Market
Paytm	Soundbox 3.0	299	125	Small-medium shops
	Soundbox 4.0	699	24	Small Shops
	Card Soundbox	999	125	Medium-Large Shops
	Android EDC	6,000	0	Medium-Large Shops
PhonePe	POS Machine (Lifetime)	6,499	45	Medium-Large Shops
	POS Machine (Rental)	999	349	Medium-Large Shops

	SmartSpeaker	314	125	Small shops
BharatPe	BharatPe One	1,499	199	Small-medium shops
	BharatSwipe	2,000	125	Medium-Large Shops
	BharatPe Speaker	499	99	Small shops
Google Pay	SoundPod	499	130	Small shops
Pine Labs	POS mini	2000	N/a	Small-medium shops
RazorPay	Smart POS	2000	N/a	Small-medium shops
	Android Mini POS	1000	325	Small Shops

Paytm's Device Lineup

- **Soundbox 3.0 (₹299 setup, ₹125/month):** Instant audio alerts, multi-language support, and 4G connectivity make it an affordable entry-level option for small and medium shops.
- **Soundbox 4.0 (₹699 setup, ₹24/month):** A lower monthly fee option targets small-medium shops that can afford the upfront payment. It covers only basic services like alerts and connectivity unlike the Soundbox 3.0, it excludes premium features such as financial service integration or priority support.
- **Card Soundbox (₹999 setup, ₹125/month):** Extends functionality by allowing debit and credit card acceptance in addition to UPI, while retaining instant voice confirmations. This makes it ideal for merchants with larger ticket sizes where customers prefer cards.
- **Android EDC (₹6,000 setup, no monthly fee):** A full-service terminal that accepts cards, UPI, wallets, and supports EMI payments. It is suited to medium and large shops handling higher-value transactions, giving merchants flexibility across payment types.

How Paytm Differentiates

Unlike competitors that focus narrowly on one device type, Paytm covers the entire merchant spectrum. Its Soundbox models dominate the small-shop segment with affordability and reliability, while the Card Soundbox and Android EDC push merchants toward higher-margin card and EMI transactions. This layered approach from entry-level Soundbox to advanced POS ensures merchants can scale with Paytm rather than switching providers.

Competitor Notes

- **PhonePe** offers similar Soundbox pricing, but settlements are slower, while their POS is priced higher.
- **Google Pay's SoundPod** offers daily or yearly plans with instant settlement but lacks a broader device lineup which reduces their reach.
- **BharatPe** markets innovative all-in-one devices like the BharatPe One with QR + card swipe + touchscreen but adoption remains limited compared to Paytm due to price differences and the registered merchant base.
- **Razorpay** focuses on advanced features such as AI self-healing POS devices and thematic retail POS but targets a narrower base.
- **Pine Labs** is the strongest in large-format retail with POS machines, but penetration among smaller merchants is weak.

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Merchant Growth Potential (TAM)

While Paytm already has one of the largest merchant footprints in India, there is still meaningful room to expand, Redseer estimates that India will have around **7 crore merchants by FY26**, of which about **85% will be digitized**, giving a universe of roughly **5.95 crore digitized merchants**. Against this, Paytm has about **4.5 crore registered merchants** and **1.3 crore devices**. That leaves an immediate headroom of about **1.45 crore merchants** to capture in FY26, with the gap widening as the overall base grows.

Year	Total Merchants (Cr)	Digitized (85%) (Cr)	Paytm Merchants	Room for Growth (Cr)
FY26	7.00	5.95	4.5	1.45
FY27	7.84	6.66	4.5	1.99
FY28	8.79	7.46	4.5	2.57
FY29	9.83	8.36	4.5	3.21
FY30	11.00	9.35	4.5	3.90
FY31	12.32	10.47	4.5	4.68

This shows that Paytm's early mover advantage in merchant onboarding is largely behind it. The next phase of growth will be slower and more competitive, and will come from three areas. First, bringing smaller and more traditional merchants who are still offline into the digital ecosystem. Second, defending its position and capturing share as competitors like PhonePe and Pine Labs expand their merchant reach. Third, getting more value out of its existing base by moving merchants up the device ladder, from QR-only to Soundboxes and then to higher-margin products like Card Soundboxes and Android EDCs.

Consumer Payments Market Share

The first mover advantage in merchant onboarding is largely behind Paytm, with further growth now dependent on upselling devices, retaining market share, and expanding usage among smaller and more traditional merchants. But the consumer side of the business is important for Paytm where competition with Google Pay and PhonePe defines market share dynamics.

Transaction Value

To see where Paytm stands, it helps to look at the total value of UPI transactions done on the three biggest apps.

Customer Initiated UPI Transaction					
Value (Cr)	FY22	FY23	FY24	FY25	FY26 YTD
Paytm	16,27,732	12,67,379	18,15,713	14,68,235	5,47,045
Google Pay	40,37,038	48,13,793	68,50,413	92,49,887	34,59,592
PhonePe	35,35,129	69,04,896	99,43,452	1,31,38,837	48,80,419

As the table shows, Paytm's share is much smaller than its competition. In FY25, Paytm processed about ₹14.7 lakh crore, while Google Pay and PhonePe were way ahead at ₹92.5 lakh crore and ₹131.4 lakh crore. That gives Paytm just around 6.2% market share by value, and this hasn't really improved in FY26.

Transaction Volume

The volume side tells the same story, with Paytm's share again much lower than Google Pay and PhonePe.

Customer Initiated UPI Transaction					
Volume (Mn)	FY22	FY23	FY24	FY25	FY26 YTD
Paytm	5,870	11,223	14,285	13,479	5,123
Google Pay	15,850	28,886	47,274	68,609	26,693
PhonePe	21,115	39,429	62,140	89,188	34,523

In FY25, Paytm processed about 13.5 billion transactions, compared to 68.6 billion for Google Pay and 89.2 billion for PhonePe. That works out to just 7.9% of total volumes. While Paytm's volumes slipped about 6% YoY, both competitors kept growing fast. FY26 YTD shows Paytm at 5.1 billion transactions, or around 7.7% market share, which suggest consumers continue to prefer the easier, more straightforward interfaces of Google Pay and PhonePe.

This weak position on the consumer side is also evident in credit. Redseer highlights the BNPL and embedded consumer credit are among the fastest growing categories in India's digital finance ecosystem, expected to expand at around **30-35% CAGR through**

FY28-FY30. This growth is driven by younger consumers, higher discretionary spending, and the return on the credit cycle. Paytm was an early mover with its Postpaid and BNPL products, but regulatory tightening on unsecured credit and the RBI's action against the PPBL disrupted the infrastructure it relied on for disbursements and collections. While BNPL itself was not banned, Paytm's reliance on PPBL meant it was indirectly hit, forcing a scale-back on consumer lending.

Geographic Concentration

UPI activity is not spread evenly across the country. Big Tier-1 and Tier-2 states like Maharashtra, Karnataka, Tamil Nadu, Uttar Pradesh, and Delhi together make up almost one-third of total UPI value. Smaller states and Tier 3/4 regions contribute much less.

State	Total Volume (Mn)	Total Value (₹ Cr)	Share of Value (%)
Maharashtra	8,494	9,12,733	9.5%
Karnataka	4,775	6,39,646	6.7%
Telengana	3,568	5,35,897	5.6%
Tamil Nadu	3,115	4,50,947	4.7%
Andhra Pradesh	2,464	3,98,336	4.2%
Others	52,018	66,05,717	69.3%

This is important because Paytm's strength lies in Tier-3 and Tier-4 markets, where it has pushed Soundboxes and built deep merchant coverage. But since most UPI value is concentrated in larger states and urban centers where GPay and PhonePe dominate, Paytm's consumer share looks small despite its wide merchant base.

What this Means for Paytm

These numbers show why Paytm lags its competitors on the consumer side. The Paytm app is less simple and intuitive than Google Pay and PhonePe, so urban users in high-value markets prefer the alternatives. Paytm has focused more on merchants and devices rather than building a streamlined consumer experience, which explains why its UPI volumes and values are lower.

But this has consequences as fewer consumers are using the Paytm app, its ability to

monetize through ads, marketing, and cross-selling financial services is limited. Over time, this shrinks Paytm's effective TAM on the consumer side, especially when compared to the competition.

The lost opportunity is even more profound in consumer credit as BNPL and EMI solutions are projected to grow at **30-35% CAGR through the rest of the decade**. By stepping back from Postpaid and unsecured consumer lending, Paytm has ceded ground in a segment that is expanding rapidly as the credit cycle recovers. If these Redseer projections hold, the gap between Paytm and peers on the consumer side will widen further, leaving Paytm overly dependent on merchant lending and devices for growth.

Paytm's Lending Business

Over the past three years, Paytm's lending business has gone through a clear transition in focus. In FY21-FY22, lending was driven mainly by BNPL/ Postpaid and small-ticket personal loans aimed at consumers. These products grew quickly but carried higher credit risk and relied heavily on the Paytm Payments Bank infrastructure.

Period	Product Mix Focus	Key Shift
FY21–FY22	BNPL/Postpaid + small-ticket personal loans	Rapid growth in consumer credit
FY23	Consumer loans + merchant loans ramping	Merchant lending begins scaling
FY24 (early)	Merchant loans dominate, BNPL reduced	Ticket sizes rise, repeat borrowers grow
FY24 (late)	BNPL/Postpaid scaled back sharply	RBI action on PPBL disrupts consumer flows
FY25	Merchant loans (DLG and non-DLG mix)	Partners shift toward more non-DLG loans

By FY23, the mix began shifting toward merchant loans. While consumer loans were still meaningful, Paytm's rapid device adoption and expanding merchant base allowed it to scale merchant lending, with repayments tied directly to merchant payment flows. Ticket sizes were already larger than consumer loans, and repeat borrowing helped them grow further.

In FY24, merchant loans became the core of the lending book, with average ticket sizes rising steadily and about half of borrowers returning for repeat loans. Meanwhile, BNPL and Postpaid volumes declined due to the RBI's tighter rules on unsecured consumer credit and, later, the ban on Paytm Payments Bank, which curtailed most consumer-facing lending.

By FY25, personal and merchant loans averaged 1-1.5 lakhs with one year loan duration. While the BNPL loans averaged around 14,500. Small-ticket personal loans of around 50,000 came under regulatory scrutiny. To reassure lending partners paytm had introduced a Default Loss Guarantee Model. More recently, however, they have shifted towards a non-DLG model which showcases lending partners' confidence in Paytm's credit ratings.

This pivot also reflects a wider industry trend. Redesser highlights that millions of small and mid-sized merchants remain underserved by formal credit channels, despite being digitized. The gap between credit demand and supply creates a large addressable opportunity for distribution-led players like Paytm, which can leverage its device merchants to extend loans where banks and NBFC's face higher operating costs. With around 5.95 crore digitized merchants in India by FY26, Paytm's 1.3 crore device merchants provide direct access to a sizable portion of this underserved market.

Loan Type	Sourcing Fee	Collection Fee	DLG Fee	Gross Take Rate	Net Take Rate
Merchant Loans (DLG)	3–4% upfront	1–2% over loan life	3.5–4%	8–10% (before DLG cost)	North of 5% after DLG cost
Merchant Loans (Non-DLG)	3.5–4% upfront	None	None	N/a	Slightly lower, still >5%

The table highlights that merchant loans are Paytm's most profitable product. Under the DLG model, sourcing, collection, and trail revenues push gross take-rates into the 8-10% range netting above 5% after DLG costs. Non-DLG loans earn slightly less but remain above 5%, with the benefit of being capital-light and carrying no guarantee obligations.

One important shift is the reduction in DLG-reliant loans. Paytm relied on DLG to

reassure partners and grow volumes. By covering 5-15% of loan value upfront, Paytm proved merchant creditworthiness and earned higher fees. Now, as merchant performance has held up, lenders are more willing to fund loans without DLG support. This is a positive sign as this means that lending partners trust in merchants is improving. Paytm also avoids heavy upfront guarantee costs that pressured quarterly margins and their general balance sheet.

DLG Vs Non-DLG Model:

Model	How does it work?	Collection Role	Pros	Cons
DLG Loans	Paytm guarantees part of losses for lending partners.	Paytm usually assists in collections, earning a higher collection fee	Helps build trust with lending partners by showcasing the merchant's credit quality	High upfront cost that carries default risk with strong RBI regulation
Non-DLG Loans	Paytm only sources loans; lenders take all credit risk	May or may not assist in collections.	Capital-light and no upfront costs that carries lower regulatory risk	Lower margins Vs. DLG and Partners may limit volumes without risk-sharing

Paytm originally leaned on DLG loans to scale merchant disbursements quickly, because partners wanted the added comfort of guarantees. This model pushed net take rates above 5% but required large upfront costs and came under regulatory scrutiny. Now, with a strong repayment history from merchants, partners are shifting to non-DLG models. These carry slightly lower margins but position Paytm for more sustainable growth, with lower costs and less balance-sheet burden.

The move from DLG to Non-DLG loans signals that Paytm's partner banks now trust the repayment ability of its merchants. This trust is reinforced by the fact that more than half of Paytm's loan business comes from repeat customers. That's a healthy sign because it means loan sizes are increasing, which in turn supports higher ARPU.

On the other hand, the number of key customers has been falling quickly. This raises concerns that Paytm is struggling to convert its large base of sandbox users into borrowers for its lending products.

Metric	FY22	FY23	FY24	FY25	FY26 YTD
Revenue (Cr)	436	1,370	2,175	1,765	561
Merchant Loans (Cr)	3,359	22,525	15,614	14,692	N/a
Personal Loans (Cr)	1,617	6,533	8,257	7,883	N/a
Average Key Customers (Lakhs)	6	8	7	5.975	5.6

The table shows how merchant loans have grown sharply, while personal loans have lost momentum. Revenues grew steadily until FY24 before dipping in FY25, driven by two factors:

- 1) Pullback in personal loan disbursements after RBI's tightening on unsecured credit
- 2) The fallout from the Paytm Payments Bank (PPBL) ban, which created confusion among merchants and limited consumer and merchant flows

Despite this, merchant lending has been growing steadily. From FY22 to FY23, disbursements jumped from just over ₹3,300 Cr to ₹22,500 Cr as Paytm leveraged repayment-linked merchant flows. However, the lending volume slowed down after the explosive growth, merchant loans remained the majority of the loan book. Personal loans decline is visible not only through the value of loans disbursed decreasing but also with the reduction in Average Key customers per quarter from 8 lakhs in FY23 to 5.6 lakhs in Q1 of FY26. Paytm is less focused on adding consumer borrowers and more on deepening merchant relationships with bigger ticket sizes and repeat loans.

TAM (Lending Opportunity)

Paytm already has one of the largest merchant footprints in India, but the total opportunity remains significant because the overall merchant base is still expanding and digitization levels are rising. To size the lending TAM realistically, I used Redseer's merchant universe estimates (Redseer, Digital Lending in India Report 2024)".

- **Total Merchants:** Redseer estimates 7 crore merchants in India by FY26
- **Digitization Rate:** Redsser projects that 85% of these merchants will be digitized by FY26
- **Room for Growth:** Paytm reported 4.5 crore registered merchants, which is the baseline I use. The incremental headroom is therefore digitized merchants minus Paytm's base. This captures the opportunity Paytm has to onboard additional digitized merchants, upsell devices, and deepen lending penetration.

Year	Total Merchant (Cr)	Digitized (85%) (Cr)	Room for Growth (cr)
FY26 (base)	7	5.95	1.45
FY27	7.84	6.66	1.99
FY28	8.79	7.46	2.57
FY29	9.83	8.36	3.21
FY30	11	9.35	3.90
FY31	12.32	10.47	4.68

For Paytm, the updated Redseer numbers suggest that the lending opportunity is larger than earlier estimates. In FY26, the digitized merchant universe is around 5.95 crore, compared to Paytm's 4.5 crore base, leaving about 1.45 crore merchants as immediate headroom. This gap continues to expand as the overall merchant base grows, reaching nearly 4.7 crore even if Paytm's own merchant count stays flat.

However, the real opportunity is not just about adding more QR merchants, since many shops already display multiple QR codes. The real driver of lending growth will be converting these merchants into device users, because devices allow Paytm to track cash flows and enable loan repayments directly. This means Paytm's path forward is less about simply increasing registrations and more about deepening monetization within its existing base: upselling devices, moving merchants to higher-value products like Card Soundboxes and Android EDCs, and then layering lending on top. In other words, growth will come from both expanding into the wider merchant universe and increasing ARPU from the merchants already on the platform.

At an industry level, India's FinTech market is entering a scale-up phase, and digital lending is expected to be the largest growth engine. India's total digital lending book is projected to grow from \$45 billion in 2024 to nearly \$300 billion by 2030. This reflects how quickly small businesses are adopting digital payments and becoming credit-visible. Paytm's Lending disbursements in FY25 stood at ₹14,700 crore, which is only a small fraction of this market, but that's what makes the opportunity so significant. As digital adoption spreads across Tier-2 and Tier-3 merchants, and as device penetration increases, Paytm can leverage its merchant base to scale disbursements and grow lending fees in line with the broader digital lending boom.

Moat And Competitive Risk

Paytm's moat comes from the combination of scale, pricing flexibility, and functionality it offers to merchants. Unlike competitors that focus on one or two products, Paytm has devices at every price point, from the most basic Soundbox to the more advanced Card Soundbox and Android EDC. These devices come with important features like instant settlements, multi-language support, and EMI acceptance. This range means Paytm can serve the smallest shopkeeper as well as larger retailers, which builds stickiness and gives it a wider base. The first mover advantage in QR codes and Soundboxes has also helped Paytm capture lending opportunities by tying merchant payment flows directly into credit distribution.

At the same time, the moat is not permanent. Device penetration in the overall merchant universe is still low and competitors such as Pine Labs in enterprise POS and PhonePe with its consumer-led push are catching up fast. Paytm has already lost ground on the consumer side and if it slows down on devices the risk is that rivals will take market share in merchant lending too. Another big factor is regulation as the PPBL ban showed how quickly regulatory action disrupted Paytm's ecosystem. If rules around DLG models tighten further, Paytm could lose more ground to competitors who are less exposed to these risks.

Wealth, Broking, Marketing, and Financial Services

For years, Paytm grouped ticketing, travel, and other commerce with wealth and insurance under "Other Financial Services," which brought traffic but was low margin and operationally heavy. In FY25, Paytm sold the movie and events ticketing business to Zomato for around 2,048 crore, to free up capital and focus on their core business of payments and merchant lending.

What the segment is today

- **Wealth and Broking (Paytm Money):** Discount broking, direct mutual funds, and digital gold aimed at mass-market investors; adoption is still early but ARPU improves as user retention becomes stronger.
- **Insurance Distribution:** Digital distribution across life, health, and general insurance with growing popularity in merchant focused aspects like shop insurance where Paytm's existing merchant base helps with conversion and lowers the CAC.
- **Marketing Services:** It helps merchants sell more and engage consumers, and it supports the core payments business. It includes advertising, travel ticketing,

credit card distribution, and deals and gift vouchers. Earlier, it also included movie and events ticketing, which was sold to Zomato in FY25. Revenue comes from transaction fees, subscription or volume-based fees, and ad partnerships. For credit cards, Paytm earns an upfront activation fee.

Key Stats (Distribution-led revenue)

Metric	Q1 FY25	Q2 FY25	Q3 FY25	Q4 FY25	Q1 FY26
Marketing Services Revenue (Cr)	282	268	267	267	247

Paytm does not disclose the # of active broking accounts, Mutual Funds AUM, or insurance policies sold in recent quarters.

Why it matters strategically

This segment is smaller than payments and lending, but it is critical for Paytm's long-term model. Financial services broaden the ecosystem, increase stickiness, and boost lifetime value. The cross-selling potential is large: Paytm has 7.4 crore MTU's, but only about 5.6 lakh key financial services customers in Q1 FY26 and the penetration is less than 1%. Despite this, revenue doubled YoY because ARPU per customer increased sharply, especially in broking and insurance. An important thing to keep in mind is that the 5.6 key financial consumers also include the lending segment of the business which makes up the majority of this number. However, this is still a very small segment of the business and not a major focus.

Marketing services matters because it's a high-margin business that adds on to the paytm flywheel. The mix is steady as Marketing services was 17% of total revenue in FY24 and stayed at 17% in FY25 even after selling the movies and events ticketing business to Zomato. If the user engagement improves and more merchants use these tools, the payments data can make the ad targeting better which will add more revenue to Paytm.

Valuation

To value Paytm, I used an EV/EBITDA multiple, with the company's enterprise value at ₹63,199 crore as of FY25.

Rather than valuing Paytm on GMV, which can be inflated by zero-MDR UPI volumes, EBITDA is a more meaningful metric since it reflects the underlying profitability from Payments, Lending, and Marketing Services.

Because Paytm has only recently reached EBITDA profitability, I relied on Capital IQ

estimates to project earnings to a more steady-state level and to understand how the company is currently valued on a forward basis.

Metric	FY25A	FY26E	FY27E	FY28E
Total Revenue (Cr)	6,900	8,553	10,610	12,798
Growth (%)	(35)%	14.4%	14.9%	11.0%
EBITDA Margins (%)	0%	5.05%	11.3%	15.4%
EBITDA (Cr)	(1507)	432	1,198	1,973

At a current enterprise value of 63,199 crore and using the FY28E EBITDA of ₹1,973 crore, Paytm trades at roughly 32x FY28 EBITDA.

While there's limited public data for direct Indian peers such as PhonePe, this multiple suggests that a large portion of Paytm's future growth is priced in. For comparison, Paypal and Adyen trade between 15x and 25x EV/EBITDA

Conclusion

After conducting this research, we do not believe Paytm represents a compelling investment at current valuations. At 32x FY28 EBITDA, the stock prices in meaningful execution across all three of its core segments simultaneously, leaving little room for error. The consumer payments business continues to lose share to Google Pay and PhonePe with no credible path to recovery, which structurally limits Paytm's ability to cross-sell financial services and grow its advertising business. The lending book, while growing, has never been tested through a real credit cycle, and the shift away from DLG loans, while operationally positive, introduces uncertainty around volumes as lending partners reassess their risk appetite. Regulatory risk remains a live concern given how quickly the PPBL ban disrupted the business in FY24. Taken together, the risk-reward at current prices does not justify the multiple. Paytm is a business worth watching closely, but not one worth owning today.